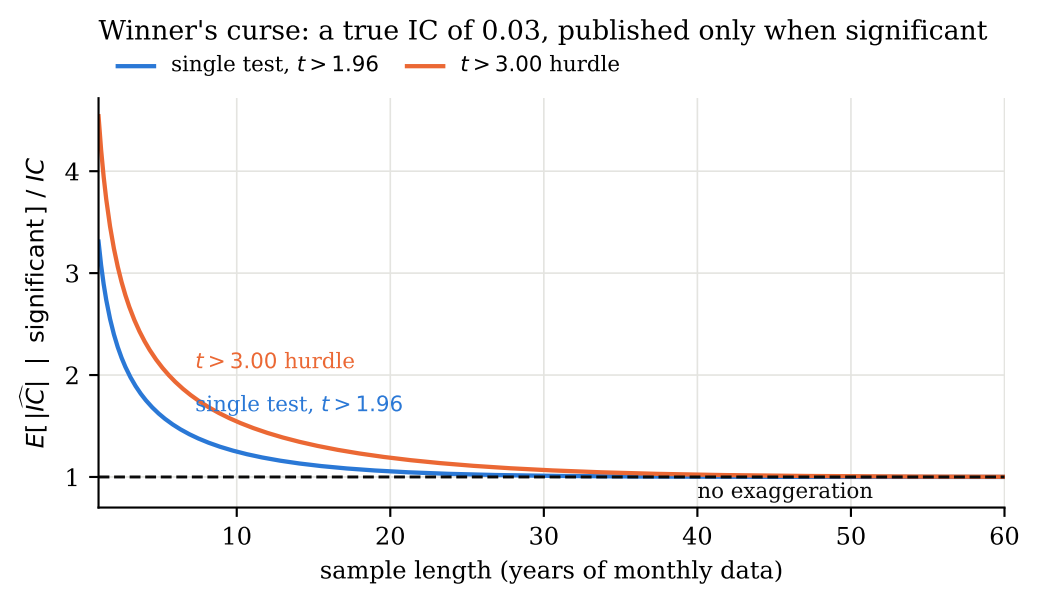
Winner's curse: a true IC of 0.03, published only when significant
single test, $t > 1.96$
$t > 3.00$ hurdle
$E[\,|\widehat{IC}|\ \mid \text{significant}\,] \,/\, IC$
4
3
2
1
$t > 3.00$ hurdle
single test, $t > 1.96$
no exaggeration
10
20
30
40
50
60
sample length (years of monthly data)